

INVESTMENT RISK ANALYSIS REPORT

84 Scenario Risk Model

Japan Property Investment

Based on 30 years of historical FX and property data, this report models 84 possible investment outcomes across 7 exchange rate scenarios, 4 property price trajectories, and 3 holding periods to provide a comprehensive risk assessment for Hong Kong investors.

Sample Property: Osaka Ten-no-Chaya Area

Investment: JPY 78,000,000 / HKD 4,000,000

Model: 7 FX x 4 Property Price x 3 Holding Periods

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1. Understanding Our Model

When you invest in Japanese property from Hong Kong, your final return depends on two fundamentally different types of factors. Understanding this distinction is the key to reading this report correctly and making informed investment decisions. Our model separates all inputs into two categories: Fixed Data that we know today with reasonable certainty, and Variable Data that are uncertain and will only be resolved in the future. By systematically testing all combinations of these variables, we generate 84 distinct scenarios that map out the full range of possible outcomes for your investment.

Fixed Data (Known Today)

Parameter	Value	Certainty
Property Purchase Price	JPY 78,000,000	Known at purchase
Loan-to-Value (LTV)	40%	Set by lender
Mortgage Interest Rate	3.0% per annum	Fixed rate loan
Loan Term	15 years	Contractual
Rental Yield	6.0% gross	Based on comparable rents
Annual Costs (Tax + Insurance)	0.3% of property value	No management fee

Variable Data (Unknown – Scenario Tested)

Parameter	Current Status	Scenario Range
Exit JPY/HKD Exchange Rate	Unknown	7 scenarios tested: 13.0 – 28.0
Exit Property Value	Unknown	4 annual rates tested: -3% to +3%
Holding Period	Flexible	3 periods tested: 5, 7, 10 years

How the 84 scenarios work: We combine 7 possible exit exchange rates (JPY strengthening 33% to weakening 44%), 4 property price trajectories (declining 3%/year to growing 3%/year), and

3 holding periods (5, 7, and 10 years). Each combination produces a unique investment outcome measured in both percentage return and absolute HKD gain or loss. This systematic approach ensures no plausible scenario is overlooked, giving you a complete picture of the risk-reward profile before committing capital.

Why no management fee? Unlike many property investments that charge 5-8% management fees, this analysis assumes direct ownership where the investor handles tenant sourcing and property maintenance directly, or engages services on a pay-per-use basis. The only unavoidable annual costs are property tax and building insurance, totaling 0.3% of the property value per year. This significantly improves net cashflow compared to fund-based or managed investments, and reflects the reality of direct property ownership in Japan where self-management is both feasible and common for single-unit investors.

2. Your Investment Parameters

This section details the fixed financial parameters that form the base of our model. These numbers are known at the time of investment and do not change across our 84 scenarios. The property is located in the Ten-no-Chaya area of Osaka, a well-connected residential neighborhood with strong rental demand. The figures below represent a sample investment used to demonstrate the model.

Property Purchase Price	JPY 78,000,000
Entry Exchange Rate	19.5 JPY/HKD
Property Value in HKD	HKD 400.0M
Loan Amount (40% LTV)	JPY 3,120 wan
Your Equity (Down Payment)	JPY 4,680 wan = HKD 240.00M
Mortgage Rate	3.0% per annum (fixed)
Loan Term	15 years (180 months)
Monthly Mortgage Payment	JPY 215,461
Annual Mortgage Payment	JPY 258.6M

Annual Cashflow Breakdown

Item	Annual Amount (JPY)	Notes
Gross Rental Income	JPY 4.68M	6.0% of property value
Less: Property Tax + Insurance	- JPY 0.234M	0.3% of property value
Net Rental Income	JPY 4.45M	Before mortgage
Less: Mortgage Payment	- JPY 2.59M	3.0% fixed, 15yr
Net Annual Cashflow	JPY 1.86M	Positive cashflow

The investment generates a positive annual cashflow of JPY 1.86M even after mortgage payments, meaning the property pays for itself from day one. This rental surplus accumulates over the holding period and forms a significant portion of the total

return. Unlike properties with negative gearing that require the investor to top up monthly, this investment is self-sustaining and provides regular income throughout the holding period. The accumulated rental income is converted back to HKD at the exit exchange rate, which means it also benefits from a weaker JPY at exit.

Outstanding Loan Balance at Exit

Holding Period	Loan Balance (JPY)	Loan Paid Down
5 Years	JPY 22.3M	JPY 8.9M (28%)
7 Years	JPY 18.4M	JPY 12.8M (41%)
10 Years	JPY 12.0M	JPY 19.2M (62%)

3. Market Variables: The Two Unknowns

The two factors that will ultimately determine your investment return are the exit exchange rate and the property market value at the time of sale. Neither can be predicted with certainty, but both can be bounded by historical evidence. Our model tests a wide range of outcomes for each variable, far beyond what most investors consider when making property investment decisions.

3.1 Exchange Rate Scenarios (JPY/HKD)

The current JPY/HKD rate is approximately 19.5 (each HKD buys 19.5 yen). Over the past 30 years, this rate has ranged from as low as 622 (1998, when JPY was very strong) to as high as 1,181 (2024, when JPY was very weak). This enormous range of nearly 2:1 demonstrates that currency risk is the single largest factor in Japanese property investment for foreign investors. Our 7 scenarios span from JPY strengthening 33% (rate drops to 13.0) to JPY weakening 44% (rate rises to 28.0), covering the vast majority of plausible 10-year outcomes based on historical precedent.

Scenario	Exit JPY/HKD	FX Change	Impact on HKD Investor
JPY Strengthens Significantly	13.0	+33.0%	Highly negative - exit JPY worth much less in HKD
JPY Strengthens	15.0	+23.1%	Negative - material FX loss on exit
JPY Moderately Strengthens	17.0	+12.8%	Slightly negative - small FX loss
No Change	19.5	0.0%	Neutral - FX has no impact
JPY Moderately Weakens	22.0	-12.8%	Slightly positive - small FX gain
JPY Weakens	25.0	-28.2%	Positive - material FX gain on exit
JPY Weakens Significantly	28.0	-43.6%	Highly positive - large FX gain

3.2 Property Price Scenarios

Japan residential property prices have experienced dramatic cycles over the past three decades. Following the bubble burst of the early 1990s, nationwide prices declined for nearly 20 years before beginning a gradual recovery around 2012. In recent years, urban areas such as Tokyo and Osaka have seen significant price appreciation driven by foreign investment, low interest rates, and demographic concentration in major cities. We test four annualized rates of change, from a persistent decline of 3% per year (similar to the 1995-2005 experience) to a sustained growth of 3% per year (consistent with the 2015-2025 urban trend).

Annual Rate	5-Year Total	7-Year Total	10-Year Total	Historical Precedent
-3%/year	-14.0%	-19.3%	-26.3%	1995-2005 national average
-1%/year	-4.9%	-6.7%	-9.6%	2005-2015 stagnation period
+1%/year	+5.1%	+7.2%	+10.5%	Conservative urban recovery
+3%/year	+15.9%	+23.0%	+34.4%	2015-2025 Tokyo/Osaka trend

4. 84 Scenario Results

The following tables present the complete 84 scenario results. Each cell shows the total return on your equity investment (HKD 2.40M) expressed as a percentage, along with the absolute gain or loss in HKD. Results are grouped by holding period. Green cells indicate positive returns, yellow indicates modest returns, and red indicates a loss of capital. The heatmap on the following page provides a visual summary of the 10-year holding period scenarios.

4.1 Holding Period: 5 Years

Prop \ FX	13.0	15.0	17.0	19.5	22.0	25.0	28.0
-3%/yr	+73% +175.2M	+50% +119.8M	+32% +77.5M	+15% +36.8M	+2% +5.3M	-10% -24.1M	-20% -47.3M
-1%/yr	+96% +230.5M	+70% +167.8M	+50% +119.8M	+31% +73.7M	+16% +38.0M	+2% +4.7M	-9% -21.6M
+1%/yr	+121% +290.5M	+92% +219.8M	+69% +165.7M	+47% +113.7M	+31% +73.5M	+15% +35.9M	+3% +6.3M
+3%/yr	+148% +355.5M	+115% +276.1M	+90% +215.4M	+65% +157.0M	+47% +111.9M	+29% +69.6M	+15% +36.5M

4.2 Holding Period: 7 Years

Prop \ FX	13.0	15.0	17.0	19.5	22.0	25.0	28.0
-3%/yr	+85% +203.7M	+60% +144.5M	+41% +99.3M	+23% +55.8M	+9% +22.2M	-4% -9.3M	-14% -34.0M
-1%/yr	+116% +278.1M	+87% +209.0M	+65% +156.2M	+44% +105.4M	+28% +66.2M	+12% +29.4M	+0% +0.6M
+1%/yr	+151% +362.2M	+117% +281.9M	+92% +220.5M	+67% +161.4M	+48% +115.8M	+30% +73.1M	+16% +39.6M
+3%/yr	+190% +456.8M	+152% +363.9M	+122% +292.8M	+94% +224.5M	+72% +171.7M	+51% +122.3M	+35% +83.5M

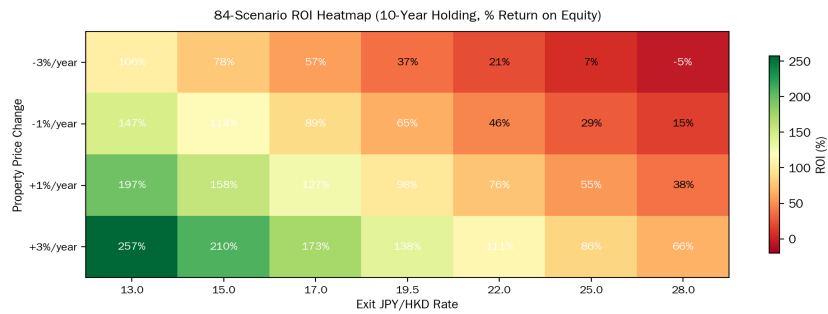
4.3 Holding Period: 10 Years

Prop \ FX	13.0	15.0	17.0	19.5	22.0	25.0	28.0
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-3%/yr	+106% +253.3M	+78% +187.6M	+57% +137.3M	+37% +88.9M	+21% +51.5M	+7% +16.5M	-5% -11.0M
-1%/yr	+147% +353.5M	+114% +274.4M	+89% +213.9M	+65% +155.7M	+46% +110.7M	+29% +68.6M	+15% +35.6M
+1%/yr	+197% +473.6M	+158% +378.5M	+127% +305.7M	+98% +235.8M	+76% +181.7M	+55% +131.1M	+38% +91.3M
+3%/yr	+257% +617.2M	+210% +502.9M	+173% +415.5M	+138% +331.5M	+111% +266.5M	+86% +205.8M	+66% +158.0M

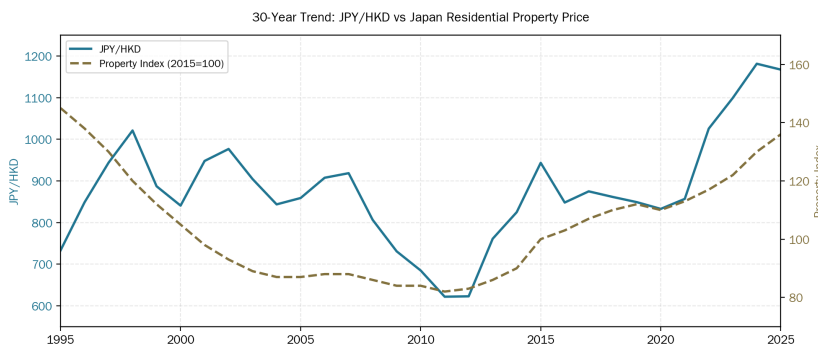
4.4 Visual Summary: 10-Year ROI Heatmap

The heatmap below provides an intuitive visual representation of the 28 scenarios for the 10-year holding period. Each cell represents a unique combination of exit exchange rate (horizontal axis) and property price change (vertical axis). The color gradient from red (loss) through yellow (moderate return) to green (high return) makes it immediately clear which combinations drive the best and worst outcomes. Note that the exchange rate dominates: even with property prices declining, a significantly weaker JPY at exit can still produce strong positive returns for the HKD-based investor.



5. Historical Evidence: 30-Year Summary

To ground our scenario analysis in reality, we examine actual historical data from 1995 to 2025. This 30-year period encompasses the aftermath of Japan's asset price bubble, the "Lost Decades" of deflation, the Abenomics stimulus era, and the recent post-COVID property boom. By analyzing every rolling 10-year window within this period, we can identify the worst, average, and best outcomes that actually occurred, and apply them to our model to show what your investment return would have been under those historical conditions.



5.1 30-Year Cumulative Changes

Metric	1995 Starting Level	2025 Ending Level	30-Year Change
JPY/HKD Exchange Rate	733	1167	+59.3%
Residential Property Index	145.0 (2015=100)	136.0	-6.2%

Over 30 years, the JPY/HKD rate rose from approximately 733 to 1,167, representing a 59.2% weakening of the Japanese yen against the Hong Kong dollar. For a HKD investor, this currency movement alone would have generated substantial gains when converting Japanese assets back to HKD. Meanwhile, residential property prices as measured by the nationwide index declined slightly from 145 to 136 over the same period, a modest -6.2%

change. However, this national average masks enormous regional variation: urban properties in Tokyo and Osaka have significantly outperformed, while rural areas continued to decline.

5.2 Historical 10-Year Scenarios Applied to Your Investment

We identified the actual worst, average, and best 10-year periods from the historical data and applied those exact FX and property price changes to our model. The table below shows what your HKD 2.40M equity investment would have returned under each historical scenario.

Scenario	FX 10yr Change	Property 10yr Change	Exit FX	Exit Property	ROI	Gain/Loss (HKD)
Worst Case	+64.8%	-40.0%	32.1	JPY 46.8M	-30.7%	-73.7M
Average Case	+6.3%	+6.6%	20.7	JPY 83.1M	+80.3%	+192.8M
Best Case	-36.3%	+44.4%	12.4	JPY 112.7M	+299.8%	+719.6M

Key insight: Even in the worst historical scenario (JPY weakening 64.7% combined with property prices falling 40.0% over 10 years), the loss is contained at -30.7% of equity, or HKD -0.74M. This is because the positive annual cashflow of JPY 1.86M provides a substantial buffer against capital losses. In the average historical scenario, the investment returns +80.4%, nearly doubling your equity. In the best scenario, the combination of JPY strengthening and property appreciation produces a remarkable +299.8% return. Across all 16 historical 10-year windows examined, the median outcome would have produced a strongly positive return, demonstrating the historical resilience of this investment structure.

6. Risk Scorecard and Assessment

Based on our 84-scenario analysis and 30 years of historical data, we assess the key risk factors for this investment. Each risk category is rated using a three-tier system: Low (favorable conditions), Medium (mixed conditions requiring monitoring), and High (significant concern requiring active mitigation). The ratings incorporate both the model outputs and qualitative factors such as policy environment, market liquidity, and macroeconomic conditions.

Risk Category	Rating	Assessment
FX Risk	MEDIUM	Over 30 years, JPY weakened 59% vs HKD (favorable). However, JPY strengthened significantly in 2010-2012 and could do so again if BOJ continues tightening. Current BOJ rate at 0.75% suggests further tightening is likely, which could strengthen JPY in the short term. Medium-term trend of JPY weakening due to Japan's fiscal position favors HKD investors.
Property Value Risk	LOW-MEDIUM	Urban Osaka properties have recovered strongly since 2012. Current demand is supported by foreign investment (record JPY 6.5 trillion in 2024), inbound tourism growth, and limited new supply in established neighborhoods. Risk of significant decline is lower than national average due to Osaka's economic dynamism and Expo 2025 infrastructure legacy.
Liquidity Risk	LOW	Japanese property transactions are highly liquid in urban areas. Typical time to sell is 2-4 months. No capital controls restrict repatriation of funds. The FEFTA filing requirement from April 2026 adds administrative steps but does not restrict exit. Transaction costs (broker + tax) are approximately 3-5% of sale price.
Policy / Regulatory Risk	MEDIUM	New FEFTA (Foreign Exchange and Foreign Trade Act) filing requirement effective April 2026 adds compliance burden for foreign buyers. BOJ rate increases (0.75% as of Dec 2025, highest since 1995) may increase mortgage costs on refinancing. Potential property tax reforms could increase holding costs, though no specific proposals are currently active.

Rental Income Risk	LOW	Osaka rental market remains tight with vacancy rates below 5% in central areas. The 6% gross yield is conservative based on current market comparables. Even if rent declined 20%, the property would still generate positive cashflow after mortgage. No management fee structure reduces fixed cost burden.
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Statistical Summary of 84 Scenarios

Statistic	ROI (%)	HKD Gain/Loss
Minimum (Worst)	-19.7%	-47.3M
25th Percentile	+27.6%	+66.2M
Median (50th)	+60.2%	+144.5M
75th Percentile	+98.2%	+235.8M
Maximum (Best)	+257.2%	+617.2M
Positive Scenarios	78 / 84 (93%)	
Negative Scenarios	6 / 84 (7%)	

Bottom Line

Based on 84 scenario outcomes and 30 years of historical evidence, this investment shows a strongly positive risk-reward profile for Hong Kong investors. In the 84 scenarios tested, 93% produce positive returns. The median outcome across all scenarios is a return of 60%, and the historical average scenario (using actual 10-year periods from 1995-2025 data) produces an ROI of +80.3%. Even in the worst historical 10-year period, the maximum loss was -30.7%, contained by the positive cashflow buffer. The key risk remains exchange rate volatility: while the long-term trend favors HKD investors due to Japan's structural fiscal challenges, short-to-medium term JPY strength from BOJ tightening could reduce returns. Investors with a 7-10 year horizon and tolerance for currency fluctuation are well-positioned to capture both rental income and capital appreciation in this market.